

A **mortgage** is the amount of money you agree to borrow and pay back, plus interest, to buy a house. The mortgage will come with an interest rate based on a variety of factors, like your credit score and income, and you will be expected to pay your mortgage off through monthly payments for the next 15 to 30 years. These factors also determine whether you will qualify to receive a mortgage in the first place. For example, if you have no money for a down payment and no job, you are going to have a very difficult time convincing anyone to loan you money. A mortgage can also be called a “lien against property” or a “claim against property,” which means that if you stop making payments as you agreed, whoever loaned you the money to buy the house can essentially kick you out and take the house back because they paid for it.

Buying a home also comes with tons of **closing costs**, which are fees that must be paid at the end, or closing, of the real estate transaction. Here are just a few of the fees you can expect at closing: application fee, appraisal fee, attorney fee, credit report fee, home inspection fee, lead-based paint inspection fee, and the list goes on. Homebuyers should expect to pay anywhere from 2–5% of the total price of the home in closing costs.⁶⁹ For example, if you plan to buy a home for \$315,000, the closing costs may range from \$6,300 all the way up to \$15,750.

Because the adult world is full of fun expenses, you may also be asked to pay homeowner’s insurance and property taxes for six months or a year up front. **Property taxes** are the taxes you need to pay on the property you own. Your property’s tax rate is determined by your state or local government and is usually

⁶⁹ “What Are Closing Costs and How Much Are They?,” Zillow, accessed November 10, 2020, <https://www.zillow.com/mortgage-learning/closing-costs>.